# Booking Holdings Inc. (BKNG)

Watch list analysis, 2026-10-27 20:55 CET. Latest prices on 2026-10-27. Claude's notes updated 2026-10-27.

## 1. Summary

> **The strongest balance sheet and biggest cash generator in online travel, the cheapest it has been in a decade, sold off on fears that AI agents will bypass it. View: start a position now and add below about $145 (15x adjusted earnings).**

| Price | Adjusted P/E, 12m | 10-year median P/E | Entry at 15x |
|---|---|---|---|
| **$150.33** | **15.6x** | **21.2x** | **$144.15**<br>4% below today's price |

- **Cheap:** about 16x adjusted earnings, against a 10-year norm of about 21x.
- **Strong:** passes every strict debt rule and generates about $9.5bn of free cash flow a year.
- **Weak:** negative shareholders' equity because of buybacks.
- **Uncertain:** room-night growth is slowing, and AI agents and regulators are open risks.

## 2. The numbers

### Absolute values, latest 12 months

| Value | BKNG |
|---|---|
| **Price and value** | |
| Share price | $150.33 |
| Market value | $112.96bn |
| DCF fair value | $211.20 |
| Cash flow before growth (DCF base) | $10.02bn |
| **Debt and cash** | |
| Total debt | $20.69bn |
| Net debt | $3.48bn |
| Short-term debt | $2.00bn |
| Long-term debt | $18.69bn |
| Cash | $17.21bn |
| **Earnings** | |
| Revenue (12m) | $28.24bn |
| EBITDA (12m) | $11.11bn |
| Net income (12m) | $7.21bn |
| EPS (12m) | – |
| Forward EPS | – |
| **Cash flow** | |
| Operating cash flow | $9.86bn |
| Capex | -$0.32bn |
| Free cash flow | $9.54bn |

### Absolute values by year (SEC filings; Yahoo where SEC has no figure)

| Value | FY2016 | FY2017 | FY2018 | FY2019 | FY2020 | FY2021 | FY2022 | FY2023 | FY2024 | FY2025 | Latest 12m |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Share price | $58.64 | $69.51 | $68.90 | $82.15 | $89.09 | $95.97 | $80.61 | $141.89 | $198.74 | $214.21 | $150.33 |
| Market value | $73.40bn | $86.81bn | $82.71bn | $89.36bn | $91.67bn | $99.24bn | $80.72bn | $129.58bn | $169.24bn | $174.79bn | $112.96bn |
| Cash flow before growth (DCF base) | $3.84bn | $4.50bn | $5.12bn | $4.61bn | -$0.09bn | $2.66bn | $6.41bn | $7.55bn | $7.73bn | $8.79bn | $10.02bn |
| Total debt | $6.17bn | $8.81bn | $8.65bn | $7.64bn | $12.01bn | $10.93bn | $12.48bn | $14.18bn | $16.60bn | $18.74bn | $20.69bn |
| Net debt | $4.09bn | $6.27bn | $6.02bn | $1.33bn | $1.45bn | -$0.20bn | $0.26bn | $2.08bn | $0.43bn | $1.53bn | $3.48bn |
| Short-term debt | – | – | – | – | $0.98bn | $1.99bn | $0.50bn | $1.96bn | $1.75bn | $1.88bn | $2.00bn |
| Long-term debt | $6.17bn | $8.81bn | $8.65bn | $7.64bn | $11.03bn | $8.94bn | $11.98bn | $12.22bn | $14.85bn | $16.86bn | $18.69bn |
| Cash | $2.08bn | $2.54bn | $2.62bn | $6.31bn | $10.56bn | $11.13bn | $12.22bn | $12.11bn | $16.16bn | $17.20bn | $17.21bn |
| Revenue (12m) | $10.74bn | $12.68bn | $14.53bn | $15.07bn | $6.80bn | $10.96bn | $17.09bn | $21.36bn | $23.74bn | $26.92bn | $28.24bn |
| EBITDA (12m) | $3.21bn | $4.90bn | $5.77bn | $5.81bn | -$0.17bn | $2.92bn | $5.55bn | $6.34bn | $8.15bn | $9.45bn | $11.11bn |
| Net income (12m) | $2.13bn | $2.34bn | $4.00bn | $4.87bn | $0.06bn | $1.17bn | $3.06bn | $4.29bn | $5.88bn | $5.40bn | $7.21bn |
| EPS (12m) | $1.71 | $1.87 | $3.33 | $4.47 | $0.06 | $1.13 | $3.05 | $4.70 | $6.91 | $6.62 | – |
| Operating cash flow | $3.98bn | $4.66bn | $5.34bn | $4.87bn | $0.09bn | $2.82bn | $6.55bn | $7.34bn | $8.32bn | $9.41bn | $9.86bn |
| Capex | -$0.22bn | -$0.29bn | -$0.44bn | -$0.37bn | -$0.29bn | -$0.30bn | -$0.37bn | -$0.34bn | -$0.43bn | -$0.32bn | -$0.32bn |
| Free cash flow | $3.76bn | $4.37bn | $4.90bn | $4.50bn | -$0.20bn | $2.52bn | $6.19bn | $7.00bn | $7.89bn | $9.09bn | $9.54bn |

## Ratios

| Measure | BKNG | Rule or peer median |
|---|---|---|
| Net debt / EBITDA | 0.3x | ≤ 4.5x |
| EBITDA / interest | 10.1x | ≥ 4x |
| Cash / short-term debt | 8.6x | ≥ 1x |
| Cash / long-term debt | 92.1% | ≥ 5% |
| Revenue growth, average / median year | 16.5% / 13.4% | > 0 |
| EPS growth (GAAP), average / median year | 32.2% / 47.1% | > 0 |
| Net margin, 12 months | 25.5% | |
| P/E, trailing GAAP | 16.7x | peer median 22.1x |
| P/E, forward | 12.2x | |
| EV / EBITDA | 10.5x | peer median 8.8x |
| Free cash flow yield | 8.4% | |
| Price vs standard DCF fair value | -28.8% | < 0 is cheap |

## Strict screen: passes

| Must-have | BKNG |
|---|---|
| market value >= $1bn | Pass |
| reliable US-dollar data | Pass |
| profitable (net income and EBITDA > 0) | Pass |
| cash covers short-term debt | Pass |
| cash >= 5% of long-term debt | Pass |
| net debt / EBITDA <= 4.5x | Pass |
| EBITDA / interest >= 4x | Pass |

## Weighted screen against peers: BKNG ranks 3 of 3

| Company | Total | Debt (50%) | Profit and cash (25%) | Cheapness (25%) |
|---|---|---|---|---|
| 1. TCOM | 85.1 | 83.3 | 90.5 | 83.3 |
| 2. EXPE | 63.1 | 66.7 | 52.4 | 66.7 |
| **3. BKNG** | **51.8** | **50.0** | **57.1** | **50.0** |

Peers: EXPE, ABNB, TCOM, TRIP, MMYT, TRVG. Growth required. Scores are percentiles within the peers that pass the base rules.

## DCF

| Standard DCF | |
|---|---|
| Cash flow before growth (OCF − D&A + after-tax interest) | $10.02bn |
| WACC (CAPM) | 8.8% |
| Growth forever | 2.5% |
| Fair value per share | $211.20 |
| Price vs fair value | -28.8% |
| Growth forever implied by today's price | 0.2% |

## 3. Analysis

### Adjusted P/E against its own 10-year history




| Year | Average price | Adjusted EPS | P/E |
|---|---|---|---|
| **Now (12m)** | **$150.33** | **$9.61** | **15.6x** |
| 2025 | $206.52 | $9.14 | 22.6x |
| 2024 | $159.31 | $7.52 | 21.2x |
| 2023 | $112.30 | $6.13 | 18.3x |
| 2022 | $82.38 | $4.03 | 20.4x |
| 2021 | $91.71 | $1.83 | 50.1x |
| 2020 | $69.66 | $0.19 | 366.6x |
| 2019 | $74.85 | $4.13 | 18.1x |
| 2018 | $78.76 | $3.72 | 21.2x |
| 2017 | $71.93 | $3.09 | 23.3x |
| 2016 | $53.87 | $2.80 | 19.2x |

Median of the yearly P/E: 21.2x over 10 years, 21.2x over the last 5.

Adjusted EPS: Yahoo's reported quarterly EPS (the basis analysts use, without amortization and one-offs), split-adjusted. Last four quarters, by report date: Oct 2025 $3.98, Feb 2026 $1.95, Apr 2026 $1.14, Aug 2026 $2.54. Full-year EPS is the trailing figure at the Q4 report; P/E uses the year's average price. The chart shows the daily price over the trailing adjusted EPS known that day.

### Entry price

At 15x trailing adjusted EPS of $9.61, the entry price is **$144.15**, 4% below today's price. The 10-year range of yearly P/E is 18.1x to 366.6x (years of collapsed earnings, such as 2020, show very high P/Es). Next report 2026-11-03 (EPS estimate $4.49); if met, the entry price becomes $151.80.

Target: Proposed 2026-10-25 (report 12), not yet confirmed by Babak: below the 18x decade low, a discount for the AI-agent risk.

### Business

Booking runs Booking.com, Priceline, Agoda, KAYAK and OpenTable. Most of its profit comes from hotel and alternative-accommodation commissions, mainly in Europe. Results are still growing: Q2 2026 adjusted EPS of $2.54 beat the $2.43 consensus and grew 15%. It returns about 10% of its market value to shareholders each year through buybacks and dividends. The stock split 25-for-1 in April 2026.

### Risks

- **AI agents:** assistants that book travel directly (Meta's Muse agent, Sep 23) could cut Booking out of the customer relationship.

- **Slowing volume:** room-night growth fell from 8–9% in 2025 to 5% in Q2 and a guided 3–5% in Q3.
- **Regulators:** an EU Digital Services Act probe (Oct 21), reported FTC action over affiliate hotel ads (Oct 7), and the EU court upholding the ETraveli block (Sep 9).

### News

- 2026-10-27: a new 52-week low near $150 intraday, closing about $150. Options imply about a 6% move on the Nov 3 report. Wells Fargo cut its target to $190 (Equal Weight); BofA ($232) and BTIG ($250) keep Buy.
- The stock is down about 29% this year, most of it since late August.
- Q3 results are due Nov 3; consensus adjusted EPS is about $4.49.

### What to watch

- Q3 on Nov 3: room nights against the 3–5% guide and early 2027 commentary.
- Management's view of traffic from AI agents, any FTC provision, and whether buybacks stay near $4bn a quarter.

### Caveats

- Yahoo data is unofficial; capex can include acquisitions or stakes, so check SEC capex.
- The peer group is hand-picked, so the weighted scores depend on it.
- Claude's notes are dated above and may be older than the numbers.

Reproduce: `uv run python analysis/watchlist.py BKNG`